

A Note About Benjamin Graham by Jason Zweig

Who was Benjamin Graham, and why should you listen to him?

Graham was not only one of the best investors who ever lived; he was also the greatest practical investment thinker of all time. Before Graham, money managers behaved much like a medieval guild, guided largely by superstition, guesswork, and arcane rituals. Graham's *Security Analysis* was the textbook that transformed this musty circle into a modern profession. ¹

And *The Intelligent Investor* is the first book ever to describe, for individual investors, the emotional framework and analytical tools that are essential to financial success. It remains the single best book on investing ever written for the general public. *The Intelligent Investor* was the first book I read when I joined *Forbes* Magazine as a cub reporter in 1987, and I was struck by Graham's certainty that, sooner or later, all bull markets must end badly. That October, U.S. stocks suffered their worst one-day crash in history, and I was hooked. (Today, after the wild bull market of the late 1990s and the brutal bear market that began in early 2000, *The Intelligent Investor* reads more prophetically than ever.)

Graham came by his insights the hard way: by feeling firsthand the anguish of financial loss and by studying for decades the history and psychology of the markets. He was born Benjamin Grossbaum on May 9, 1894, in London; his father was a dealer in china dishes and figurines.² The family moved to New York when Ben was a year old. At first they lived the good life—with a maid, a cook, and a French governess—on upper Fifth Avenue. But Ben's father died in 1903, the porcelain business faltered, and